

Grayscale Investments offers the largest capital markets vehicle with bitcoin exposure, clocking in at north of \$200 million or roughly 1 percent of all bitcoin outstanding as of March 2017. Grayscale was established in 2013 by its parent company, Digital Currency Group (DCG). Founded by Barry Silbert, a serial entrepreneur and influential figure in the Bitcoin community, some would say that DCG is in the early stages of becoming the Berkshire Hathaway of Bitcoin.¹ Grayscale's focus within DCG's portfolio of operating companies is to provide digital currency investing options to the capital markets. Currently, it has the Bitcoin Investment Trust (BIT), the Ethereum Classic (ETC) Investment Trust, and a potential bitcoin ETF (exchange traded fund) in filing with the SEC.

The BIT was the first product that Grayscale brought to market and upon launch was only available to accredited investors. The BIT was structured to acquire and secure bitcoin in a trust and then provide shares in the trust to investors, with each share representing approximately 1/10 the value of a single bitcoin. In theory, investors could assume that every 10 shares would be backed by a single bitcoin.² No hedging or leverage is used in the trust; it simply holds bitcoin and allows investors to gain access to its price fluctuations without having to deal with the underlying asset. The bitcoin itself is stored with Xapo, a firm that specializes in the secure custody of large amounts of bitcoin.³ On its website, Grayscale advertises the following about the BIT:⁴